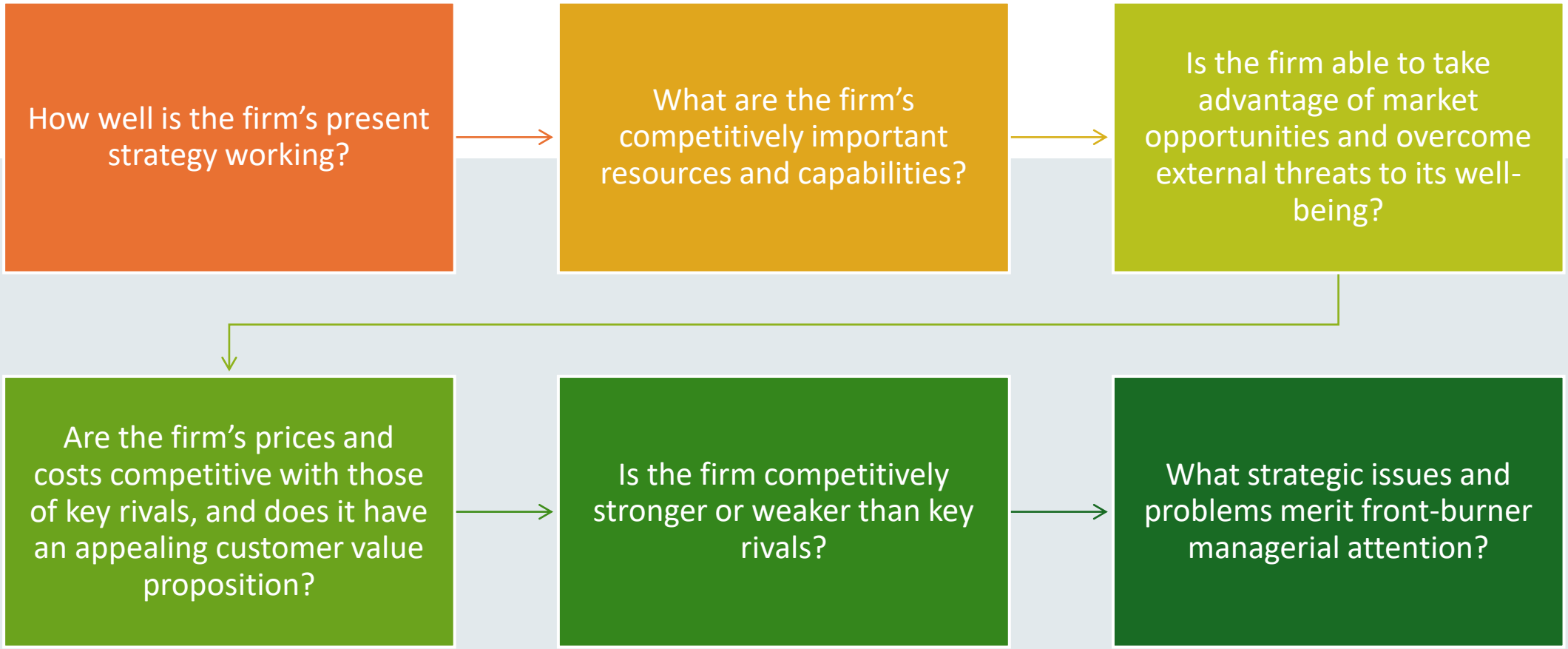
Corporate Environment

INTERNAL ENVIRONMENT

Evaluation of Company's Internal Situation



Internal Environment Analysis for Corporate Strategy

In corporate strategy, the internal environment tells you

what the company CAN do,

what it MUST fix, and

what it can leverage to gain strategic advantage

1. Resources & Capabilities (VRIO)

A classic internal analysis tool:

- Resources to analyze:
- Financial resources (cash flow, capital structure, liquidity)
- Human resources (skills, leadership, talent pipeline)
- Physical resources (plants, equipment, locations)
- Technological resources (systems, data, digital maturity)
- Intangible assets (brand, patents, reputation, culture)

Capability assessment

Use VRIO:

Value — does it create competitive advantage?

Rarity — is it rare in the industry?

Inimitable — is it hard to copy?

Organized — is the company structured to exploit it?

This tells you your core competencies.

2. Internal Processes & Operational Efficiency

Internal processes often determine strategy success.

Evaluate:

- Efficiency of workflows
- Bottlenecks
- Customer-facing process effectiveness
- Supply chain reliability
- Quality management
- Digitalization level

Strategic questions:

Where do processes hinder growth?

Which processes scale well?

3. Organizational Structure & Governance

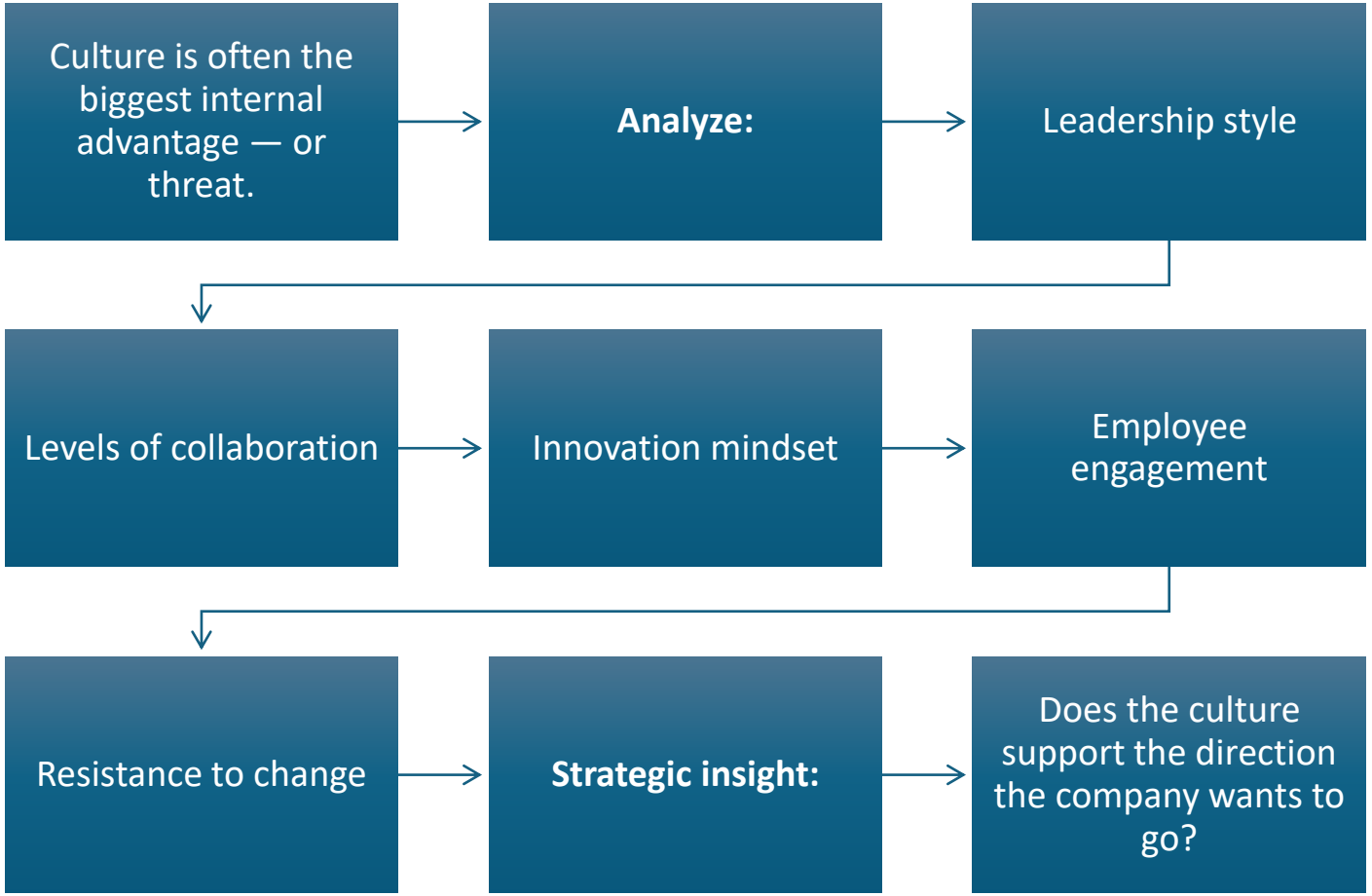
Structure should support strategy — not block it.

Look at:
Hierarchical layers
Decision-making speed
Governance model
Accountability clarity
Coordination between departments
Span of control

Strategic insight

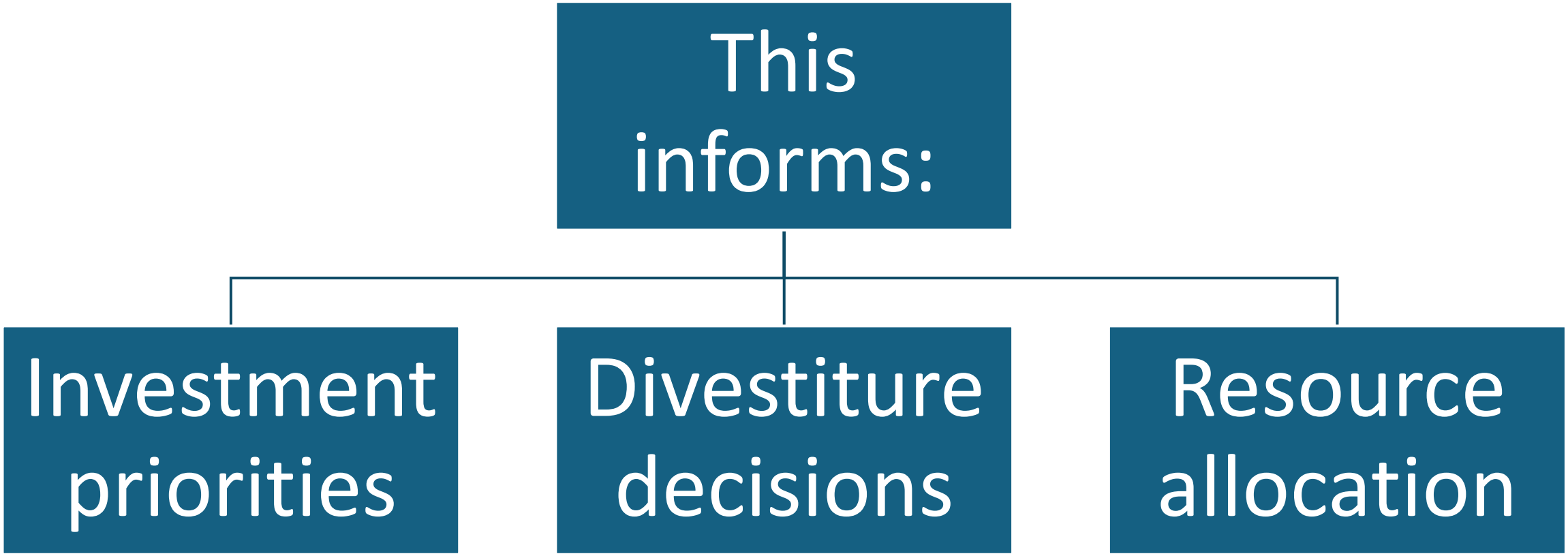
- Is the structure aligned with growth, innovation, and agility?

4. Culture & Leadership



5. Corporate Portfolio & Synergies (if multi-business)

- For groups/diversified firms:
- Do business units support each other?
- Are there synergies in:
- Customers?
- Operations?
- Technology?
- Brand?
- Talent?


This informs:
Investment priorities
Divestiture decisions
Resource allocation

6. Financial Performance & Strategic Health

Look at:

Profitability

Cash generation

Cost structure

ROI on projects

Budget discipline

Strategic investment capacity

Strategic insight:

Can the company afford its strategy?

Where is capital best deployed

7. Risk & Internal Constraints

Internal risks may limit strategy execution:

Skill gaps

Technology limitations

Compliance issues

Operational weaknesses

High cost structures

Leadership misalignment

Understanding this allows:

Better prioritization

Realistic strategy

Stronger change management

End